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# RESOLUTION NO. 26- 82

**A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF BENICIA SUBMITTING A BALLOT MEASURE TO VOTERS TO APPROVE AN ORDINANCE OF THE CITY COUNCIL OF THE CITY OF BENICIA FOR THE IMPOSITION, LEVY AND COLLECTION OF A TAX ON THE CONVEYANCE OF REAL PROPERTY BASED ON THE VALUE OF THE REAL PROPERTY IN ADDITION TO THE AMOUNT AUTHORIZED BY CALIFORNIA REVENUE AND TAXATION CODE SECTION 11911, TO BE CONSIDERED BY THE VOTERS AT THE CONSOLIDATED GENERAL MUNICIPAL ELECTION ON NOVEMBER 3, 2026**

**WHEREAS,** the City of Benicia is committed to maintaining high-quality municipal services, preserving public infrastructure, and planning responsibly for the City's future; and

**WHEREAS,** the City recognizes that future growth and development should contribute to maintaining the public services, facilities, and infrastructure necessary to support that growth; and

**WHEREAS,** the City anticipates significant future development opportunities, including approximately 527 acres of privately owned undeveloped property planned for the development of more than 1,600 residential units; and

**WHEREAS,** the former Valero Benicia Refinery, consisting of more than 900 acres, is anticipated to undergo redevelopment following the refinery's closure in April 2027, with planning efforts contemplating a mix of industrial, commercial, retail, and residential uses, including the potential for approximately 3,500 residential units; and

**WHEREAS,** these and other future anticipated development opportunities represent a significant investment in the City's future and will create additional demand for municipal services, public safety, transportation infrastructure, parks, and other community facilities that require ongoing maintenance and investment; and

**WHEREAS,** the City Council finds that it is appropriate for newly constructed residential development, commercial development, and higher-value real property transactions to contribute toward to maintaining the long-term sustainability of City services and infrastructure that benefit the community; and

**WHEREAS**, the proposed Measures Y (Limited Charter Authorizing Imposition of a Real Property Transfer Tax) and Z (Real Property Transfer Tax) are intended to work together to ensure that newly constructed properties and higher-property transactions contribute toward maintaining City services and infrastructure; and

**WHEREAS**, under the California Constitution, only a charter city may levy a real property transfer tax at rates different from those otherwise authorized by general law; and

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**WHEREAS,** the adoption of the proposed limited charter, for which a ballot measure is also being presented to voters on November 3, 2026 as Measure Y is therefore legally necessary to authorize the City to enact the proposed Real Property Transfer Tax; and

**WHEREAS**, the proposed limited charter would establish limited charter authority solely for the purpose of authorizing the City to adopt and administer a municipal real property transfer tax and would not alter the City's governmental organization, powers, or authority except as necessary to accomplish that limited purpose; and

**WHEREAS**, the proposed Real Property Transfer Tax is structured so that newly constructed residential properties and commercial properties contribute upon transfer, while existing residential properties constructed before January 1, 2027, remain exempt unless sold for two million dollars ($2,000,000) or more, thereby focusing the tax on future development and higher-value property sales; and

**WHEREAS,** the adoption of a City Charter, for which a ballot measure is also being presented to the voters on November 3, 2026 as Measure Y, is legally necessary to allow the City to enact a Real Property Transfer Tax, revenue from which will be used for unrestricted general governmental purposes, including infrastructure such as roads, repairing potholes, storm drains, sidewalks, and public facilities such as the City Pool, Community Center, Library, Marina, parks, and essential services such as Police, Fire, library, youth and senior programs, engineering and community development (planning and building) and other uses; and

**WHEREAS**, if the Real Property Transfer Tax (Measure Z), as authorized by the City Charter, is approved by the voters, the revenue from the real property tax will be subject to transparency and accountability provisions such as financial audits and oversight by an independent Citizens Oversight Committee as well as the City's Local Tax Oversight Board to ensure that all funds will remain in the City of Benicia for the local general services on which residents and businesses rely and that the Federal or State governments can take none of the new funding; and

**WHEREAS,** pursuant to authority provided by Article XI of the California Constitution, and Title 4, Division 2, Chapter 3 of the Government Code and Division 9, Chapter 3, Article 3 (commencing at Section 9255) of the Elections Code of the State of California, the City Council desires to submit a measure to the qualified electors of the City of Benicia regarding whether the City of Benicia shall become a Charter City for the limited and sole purpose of levying a Real Property Transfer Tax (RPTT); and

**WHEREAS,** the proposed "ORDINANCE OF THE CITY COUNCIL OF THE CITY OF BENICIA ADDING A NEW CHAPTER 3.17 (VOTER APPROVED REAL PROPERTY TRANSFER TAX) TO TITLE 3 (REVENUE AND FINANCE) OF THE BENICIA MUNICIPAL CODE", attached hereto and incorporated herein by reference as Exhibit "A" (the "Real Property Transfer Tax Ordinance"), would impose a tax on the transfer of real property at the rate of $4.00 per $1,000.00 of sale price for properties sold for less than $2,000,000, $6.00 per $1,000.00 of sale price for properties sold for $2,000,000 to

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$9,999,999.99, and $8.00 per $1,000.00 for properties sold for $10,000,000 and greater; and

**WHEREAS**, the City Council finds that placing both the proposed Limited Charter Measure and the proposed Real Property Transfer Tax Measure before the voters at the same election will allow the electorate to consider these interdependent measures together and determine whether future growth, including newly constructed properties, and higher-value property sales contribute to maintaining City services and infrastructure; and

**WHEREAS**, the City Council desires to submit the proposed Real Property Transfer Tax Ordinance (Exhibit A) to the voters of the City at a General Municipal Election to be held on Tuesday, November 3, 2026, and to be consolidated with the general municipal election and the statewide election to be held on that date ("Election"); and

**WHEREAS**, on July 21, 2026, the City Council adopted separate resolutions to: (1) call and give notice of the General Municipal Election to be held on November 3, 2026; and (2) authorize and request the County of Solano to consolidate the General Municipal Election with the Statewide General Election; and

**WHEREAS,** on July 21, 2026, the City Council adopted Resolution 26-76, submitting the Real Property Transfer Tax Measure to the voters, however, now decides that it would like to amend the Ballot Question that was adopted in Resolution 26-76; and

**WHEREAS**, pursuant to Government Code Section 53724, Elections Code Section 9222, and other applicable provisions of California law, the City Council desires to submit the proposed Real Property Transfer Tax Ordinance ("Ballot Measure") to the qualified electors of the City of Benicia at the November 3, 2026 General Municipal Election.

**NOW, THEREFORE, BE IT RESOLVED AND ORDERED BY THE CITY COUNCIL OF THE CITY OF BENICIA:**

**Section 1. Recitals.** The City Council hereby finds and determines that the foregoing recitals are true and correct and are hereby fully incorporated herein by this reference.

**Section 2. Rescission of Resolution No. 26-76.** Resolution No. 26-76, adopted on July 21, 2026 is hereby rescinded in its entirety.

**Section 3. Election.** The City Council hereby orders that the proposed Ballot Measure be submitted to the voters at the General Municipal Election to be held on Tuesday, November 3, 2026 and requests the Solano County Elections Department to conduct the election and consolidate it with the statewide election to be held on November 3, 2026

**Section 4. Ballot Question.** The City Council hereby approves and orders the following ballot question for the Ballot Measure to be submitted to the voters of the City of Benicia at the general municipal election on November 3, 2026:

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| **Measure Z**<br>**Real Property Transfer Tax** | |
|---|---|
| Shall the Measure, to primarily ensure newly constructed property sales contribute to maintaining city services and infrastructure, establish a real property transfer tax that will<br>• not apply to existing homes that sell for $2 million or less,<br>but apply to other property sales at rates of<br>• 0.004 for sales $2,000,000 or less,<br>• 0.006 for sales $2,000,001 - $10,000,000, and<br>• 0.008 for sales over $10,000,000,<br>providing approximately $230,000 annually, until ended by voters, be adopted? | YES<br><br>NO |

**Section 5.** **Proposed Ordinance.** The text of the proposed Ballot Measure to be submitted to the voters is attached to this Resolution as Exhibit A and incorporated herein by reference. The full text of the Ballot Measure shall be printed in the Sample Ballot and Voter's Pamphlet and shall also be made available to the public and to any voter at the Solano County Elections Department and the Benicia City Clerk's Office.

**Section 6.** **Publication of Measure.** The City Clerk is directed to publish a synopsis of the Ballot Measure at least one time no later than one week before the election.

**Section 7.** **Approval.** The vote requirement for this Ballot Measure to pass shall be a majority of the votes cast on the measure (50% plus 1).

**Section 8.** **Filing with County.** The City Clerk shall file a certified copy of this Resolution with the Solano County Elections Department.

**Section 9.** **Impartial Analysis.** Pursuant to California Elections Code Section 9280, the City Council hereby directs the City Clerk to transmit a copy of the Ballot Measure to the City Attorney. The City Attorney shall prepare an impartial analysis of the Ballot Measure, not to exceed 500 words in length, showing the effect of the Ballot Measure on the existing law and the operation of the measure, and shall transmit such impartial analysis to the City Clerk.

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**Section 10. Ballot Arguments.** Pursuant to California Elections Code Sections 9286 and 9287, the City elections official shall fix the date and time for submitting arguments for or against, as well as rebuttal arguments, for the Ballot Measure. The City Council hereby adopts the provisions of California Elections Code Section 9285 regarding the procedures by which the City elections official will consider ballot arguments in favor, against, or rebuttal for the Ballot Measure.

**Section 11. Implementation.** The City Clerk and City Manager are authorized to take all actions necessary to effectuate the purposes of this Resolution and the election. The City Manager is authorized to execute all documents and to perform all other necessary City acts required to enter into a service agreement for the provision of election services with the Solano County Registrar of Voters. The City Clerk and City Attorney are authorized to make any typographical, clerical, and non-substantive corrections to this Resolution as may be deemed necessary by the Solano County Elections Department.

**Section 12. Declaration.** The City Council shall meet to declare the results of the election called for by this Resolution at its regular meeting following certification of the election results.

**Section 13. Effective Date.** This Resolution shall take effect immediately upon adoption. The City Clerk shall certify the vote adopting this Resolution.

**Section 14. Environmental Compliance.** The proposed Real Property Transfer Tax ballot measure is exempt from further review under the California Environmental Quality Act (CEQA) because the adoption of a Real Property Transfer Tax involves the creation of a government funding mechanism which does not involve any commitment to any specific project and thus is not a project subject to the requirements of CEQA as provided by Guidelines Section 15378(b)(4), and further pursuant to Guidelines Section 15061(b)(3) which exempts projects where it can be seen with certainty that there is no possibility that the activity in question may have a significant effect on the environment.

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On motion of Council Member **Macenski**, seconded by Council Member **Birdseye**, the above Resolution was adopted by the City Council of the City of Benicia at a regular meeting of said Council held on the 4th day of August 2026 by the following vote:

Ayes: **Council Members Birdseye, Macenski, Scott, and Mayor Young**

Noes: **Council Member Largaespada**

Absent: **None**

Abstain: **None**

[redacted]

Steve Young, Mayor

Attest:

[redacted]

8/7/2026

Date

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# Exhibit A
# Ordinance Adding New Municipal Code Chapter 3.17 – Voter Approved Real Property Transfer Tax

[see next page]

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# CITY OF BENICIA

## ORDINANCE NO. 26-___

**AN ORDINANCE OF THE CITY COUNCIL OF THE CITY OF BENICIA ADDING A NEW CHAPTER 3.17 (VOTER APPROVED REAL PROPERTY TRANSFER TAX) TO TITLE 3 (REVENUE AND FINANCE) OF THE BENICIA MUNICIPAL CODE**

**THE CITY COUNCIL OF THE CITY OF BENICIA DOES ORDAIN AS FOLLOWS:**

**SECTION 1. Title 3**. (Revenue and Finance) of the Benicia Municipal Code is amended by adding a new Chapter 3.17 (Voter Approved Real Property Transfer Tax) to read as follows:

## Chapter 3.17

## VOTER APPROVED REAL PROPERTY TRANSFER TAX

Sections:

3.17.010 Title and Purpose.
3.17.020 Imposition.
3.17.030 Payment.
3.17.040 Exception – Security agreement.
3.17.050 Exception – Public agencies.
3.17.060 Exception – Conveyances.
3.17.070 Exception – Order of S.E.C.
3.17.080 Exception – Partnership interest.
3.17.090 Exception – Instrument of foreclosure.
3.17.100 Exception – Intra family transfers
3.17.110 Exception – Transfer of Restricted Affordable Units
3.17.120 Exception – Residential property built prior to January 1, 2027 and sold for less than $2 million
3.17.130 Administration.
3.17.140 Refunds.
3.17.150 Audits and Oversight

**3.17.010. Title and Purpose.** This article may be cited as the "Real Property Transfer Tax Ordinance of the City of Benicia." It is adopted pursuant to the authority contained in Part 6.7 (commencing with Section 11901) of Division 2 of the Revenue and Taxation Code of the State of California. It is also enacted pursuant to the authority of Article XI, Section 5 of the Constitution of the State of California and the Charter of the City of Benicia held as a chartered city.

The tax imposed under this article is solely for the purpose of enacting a Real Property Transfer Tax to raise revenues for the general governmental purposes of the City. All of the proceeds from the tax imposed by this article shall be placed in the City's general fund. This article is not enacted for regulatory purposes.

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**3.17.020. Imposition.** There is imposed on each instrument or writing by which land, tenement or other realty sold within the city is transferred or conveyed to the purchaser or other grantee when the consideration or value of the interest conveyed, exclusive of the value of an encumbrance remaining at the time of sale, exceeds $100, a tax at the rate of $4.00 for each $1,000.00 or fractional part of $1,000.00 for transactions with sales values $2,000,000 and under, a tax at the rate of $6.00 for each $1,000.00 or fractional part of $1,000.00 for transactions with sales values of over $2,000,000 to $10,000,000, and a tax at the rate of $8.00 for each $1,000.00 or fractional part of $1,000.00 for transactions with sales values of over $10,000,000.

**3.17.030. Payment.** The tax imposed under BMC 3.17.020 shall be paid by any person who makes a transfer of real property subject to the tax and any person to whom such a transfer is made shall be jointly and severally liable for payment of the tax. The transferor and transferee may apportion the tax among themselves.

**3.17.040. Exception – Security agreement.** The tax imposed does not apply to an instrument in writing given to secure a debt.

**3.17.050. Exception – Public agencies.** Any deed, instrument or writing to which the United States or any agency or instrumentality thereof, any state or territory, or political subdivision thereof, is a party shall be exempt from any tax imposed pursuant to this chapter when the exempt agency is acquiring title.

**3.17.060. Exception – Conveyances.** The tax imposed does not apply to a conveyance to make effective a plan of reorganization or adjustment:

A. Confirmed under the federal Bankruptcy Act;

B. Approved in an equity receivership proceeding in a court involving a railroad corporation, as defined in subdivision (m) of Section 205 of Title 11 of the United States Code, as amended;

C. Approved in an equity receivership proceeding in a court involving a corporation, as defined in subdivision (3) of Section 506 of Title 11 of the United States Code, as amended; or

D. Whereby a mere change in identity, form or place of organization is effected.

This section applies only if the filing of instrument of transfer or conveyance occurs within five years from the date of confirmation, approval or change.

**3.17.070. Exception – Order of S.E.C.** The tax does not apply to the making of conveyances to make effective an order of the Securities and Exchange Commission, as defined in subdivision (a) of Section 1083 of the Internal Revenue Code of 1954 if:

A. The order of the Securities and Exchange Commission recites that the conveyance is necessary or appropriate to carry out Section 79k of Title 15 of the United States Code, relating to the Public Utility Holding Company Act of 1935; and

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B. The order specifies the property which is ordered to be conveyed. (Prior code § 11-307).

**3.17.080. Exception – Partnership interest.**

A. In the case of realty held by a partnership, no levy is imposed by reason of transfer of an interest in a partnership if:

1. The partnership is a continuing partnership within the meaning of Section 708 of the Internal Revenue Code of 1954; and

2. The continuing partnership continues to hold the realty concerned.

B. If there is a termination of a partnership within the meaning of Section 708 of the Internal Revenue Code of 1954, for purposes of this chapter the partnership shall be treated as having executed an instrument whereby there was conveyed for fair market value, exclusive of the land value of an encumbrance remaining, all realty held by the partnership at the time of termination.

C. Not more than one tax may be imposed by reason of a termination described in subsection (B) of this section, and any transfer pursuant to it, with respect to the realty held by the partnership at the time of termination.

**3.17.090. Exception – Instrument of foreclosure.** Any tax imposed pursuant to this chapter shall not apply with respect to any deed, instrument, or writing to a beneficiary or mortgagee, which is taken from the mortgagor or trustor as a result of or in lieu of foreclosure; provided, that such tax shall apply to the extent that the consideration exceeds that unpaid debt, including accrued interest and cost of foreclosure.

**3.17.100. Exception – Intra-family transfer.** Any tax imposed pursuant to this chapter shall not apply with respect to any intra-family transfers of property, including:

A. Transfers such as a gift or purchase between parents and children;

“Children” is defined to include the following: sons and daughters, sons-in-law and daughters-in-law, stepchildren, and children adopted under age 18.

B. Transfers such as a gift or purchase between grandparents and grandchildren;

C. Transfers such as a gift or purchase between siblings;

D. Transfer made during the term of a marriage or domestic partnership between spouses or domestic partners;

E. Transfers from one spouse or domestic partner to the other in accordance with the terms of a decree of dissolution or legal separation or in fulfillment of a property settlement incident;

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**3.17.110 Exception – Transfer of Restricted Affordable Units.** The tax imposed pursuant to this chapter shall not apply to transfers of real property if the real property is encumbered by a recorded and enforceable covenant executed in favor of the city restricting the ownership and occupancy of the real property, for a period of no less than thirty years following the date of transfer, to "persons and families of low or moderate income" as defined in California Health and Safety Code Section 50093.

**3.17.120 Exception – Residential property built prior to January 1, 2027 and sold for less than $2 million.** The tax imposed pursuant to this chapter shall not apply to residential properties where the original residential improvements were first constructed and substantially completed before January 1, 2027, as demonstrated by a certificate of occupancy, county assessor records, building permit records, or other evidence acceptable to the Tax Administrator, and the sale of such property does not exceed two million dollars ($2,000,000).

**3.17.130. Administration.** The county recorder shall administer this chapter in conformity with Part 6.7 of Division 2 of the Revenue and Taxation Code and any county ordinance adopted pursuant to it.

**3.17.140. Refunds.** A claim for refund of the tax imposed is governed by Chapter 5 of Part 9 of Division 1 of the Revenue and Taxation Code of the state, beginning with Section 5096.

**3.17.150 Audits and Oversight.** This Ordinance shall be audited annually and the City shall establish a Citizen's Oversight Committee to monitor the application of the Ordinance and make recommendations to the City Council.

**SECTION 2. Adoption and Effective Date**. Consistent with the requirements of Elections Code Section 9217, if a majority of voters vote in favor of this ordinance on November 3, 2026, it shall become a valid and binding ordinance of the City. Upon the date the City Council declares the result of the vote: (a) this ordinance is deemed adopted, and (b) the Mayor is hereby authorized to sign where indicated below. This ordinance shall go into effect 10 days after the date of the City Council's declaration of the result of the vote.

**SECTION 3. Severability**. If any section, subsection, sentence, clause, phrase, or portion of this Ordinance is for any reason held to be invalid or unenforceable by a court of competent jurisdiction, the remaining portions of this Ordinance shall nonetheless remain in full force and effect. The people hereby declare that they would have adopted each section, subsection, sentence, clause, phrase, or portion of this Ordinance, irrespective of the fact that any one or more sections, subsections, sentences, clauses, phrases, or portions of this Ordinance be declared invalid or unenforceable.

**SECTION 4. Codification**. Section One of this Ordinance shall be codified in the City of Benicia Municipal Code. Sections Two Through Six shall not be codified in the City of Benicia Municipal Code.

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**SECTION 5. Termination Date**. The City's authority to levy the tax imposed by this ordinance shall remain in effect until a majority vote of the qualified electors of the City terminate that authority.

**SECTION 6. Execution**. The Mayor of the City of Benicia is hereby authorized to attest to the adoption of this Ordinance by the voters of the City of Benicia by signing where indicated below.

I hereby certify that the foregoing Ordinance was PASSED, APPROVED and ADOPTED by the people of the City of Benicia voting thereon the 3rd day of November 2026.

_____
Steve Young, Mayor

Attest:

_____
Lisa Wolfe, City Clerk

_____
Date